ii) Keynes's Equation

Keynes's equation is expressed as:

$$n = pk \quad (or) \quad p = n / k$$

Where

n is the total supply of money

p is the general price level of consumption goods

k is the total quantity of consumption units the people decide to keep in the form of cash,

Keynes indicates that **K** is a real balance, because it is measured in terms of consumer goods.

According to Keynes, peoples' desire to hold money is unaltered by monetary authority. So, price level and value of money can be stabilized through regulating quantity of money (n) by the monetary authority.

Later, Keynes extended his equation in the following form:

$$n = p (k + rk') \text{ or } p = n/(k + rk')$$

Where,

n = total money supply

p = price level of consumer goods

k = peoples' desire to hold money in hand (in terms of consumer goods) in the total income of them

r = cash reserve ratio

k' = community's total money deposit in banks, in terms of consumers goods.

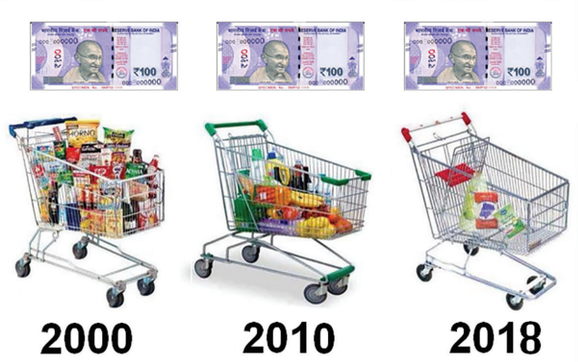
In this extended equation also, Keynes assumes that, **k**, **k'** and **r** are constant. In this situation, price level (P) is changed directly and proportionately changing in money volume (n).

5.5 Inflation

Both inflation and deflations are evils of economy. So, understanding of these is essential.

5.5.1 Meaning of Inflation

Inflation is a consistent and appreciable rise in the general price level. In other words, inflation is the rate at which the general level of prices for goods and services is rising and consequently the purchasing power of currency is falling.



Definitions

" Too much of Money chasing too few goods"

- Coulbourn

"A state of abnormal decrease in the quantity of purchasing power"

- Gregorye

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